

Epilogue: Caught with My Pants Up

I started this book with a vacation story, so maybe I should end it with one. It's August, 1982. Carolyn and I and the children have piled into the car. We're driving to Maryland to attend the wedding of Carolyn's sister, Madalin Cowhill. I've got eight or nine stops to make between Boston and the wedding. They're all publicly traded companies within a hundred-mile radius of the direct route.

Carolyn and I have recently signed a contract to buy a new house. August 17th is the last day we can get out of the deal without forfeiting the ten percent we've put down. I remind myself that this represents my combined salary from my first three years at Fidelity.

The house purchase requires substantial faith in the future of my own income, which in turn is heavily dependent on the future of corporate America.

Lately the mood has been downbeat. Interest rates have risen into the double digits, causing some people to fear we'll soon be as bad off as Brazil, while others are satisfied that we'll soon be as bad off as the 1930s. Sensible bureaucrats are wondering if they should learn to fish, hunt, and gather berries, to get a head start on the millions of other jobless souls who will soon be heading for the woods. The Dow Jones industrial average is in the 700s, while a decade earlier it had been in the 900s. Most people expect that things will get worse.

If the summer of 1987 was optimistic, the summer of 1982 was the exact reverse. We grit our teeth and decide not to cancel the house deal. Somewhere in Connecticut we realize the new house is ours. The hard part is how we're going to pay for it, long term.

Ignoring all this, I stop in to visit Insilco, in Meriden, Connecticut. Carolyn and the kids spend three hours at a video arcade, researching Atari. When I finish my meeting, I call the office. They tell me that the market is up 38.8 points. Starting from a level of 776, that's the equivalent of a 120-point day in the summer of '88. Suddenly people are excited. They are even more excited on August 20th, when the market is up another 30.7 points.

Almost overnight everything has changed. People who had reserved their campsites in the woods have rushed back to buy every stock they can get their hands on. They are stumbling all over each other to jump back on the bull. There's a mad rush to invest in all sorts of prosperous enterprises that a week earlier were given up for dead.

There's nothing for me to do, except business as usual. I'm fully invested—before and after this extraordinary rebound. I'm always fully invested. It's a great